

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 16

Honorable Vincent I. Parrett, Presiding

191 North First Street, San Jose, CA 95113

Telephone: (408) 882-2270

August 7, 2026

9:00 and 9:01 A.M.

Unauthorized Recording of Court Proceedings will be Punished

ORAL ARGUMENT

If you are contesting the tentative ruling then by 4 PM today you must notify:

- (1) The Court by calling **(408) 808-6856**, and
- (2) The other side by phone or email that you will appear at the hearing to contest the tentative.

If you fail to notify the court and opposing side by 4 PM then no oral argument will be heard and the tentative ruling becomes the final ruling. (C.R.C. 3.1308(a)(1) & Local Rule 8.D.)

APPEARANCES

The Court encourages in-person appearances for all matters.

The Court discourages remote appearances.

The Court forbids phone-only appearances.

If, despite the above clear guidance, you still elect to appear remotely in Department 16 then you must appear by video using our Court's Unicorn Digital Courtroom ("UDC") system. If for whatever reason you do not like using UDC, *then come to D16 in person.*

To use UDC, click or copy and paste this link into your internet browser & scroll to Department 16: https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml
When using UDC you must *separately register for each case* in which you appear remotely. If you find UDC too cumbersome, *then come to D16 in person.*

Proposed Orders filed by counsel after the hearing must include the Judicial Council Form EFS-020 Proposed Order Cover Sheet.

LINE	CASE NO.	CASE TITLE	TENTATIVE RULING
9:01 1			
9:01 2			
9:01 3			
9:01 4			
9:01 5			
9:00 1	23CV417705	<i>The Heights Residence, LLC</i> <i>v.</i> <i>Victoria Soboleva, et al.</i>	Order on Cross-Defendant Paxos Trust Demurrer to Cross-Complainant U.S. Bank Trust National Association's First Amended Cross-Complaint See Line 1 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 2	25CV475688	<i>Creditors Adjustment Bureau, Inc.</i> <i>v.</i> <i>Luis Castaneda, et al.</i>	Order on Plaintiff's Motion for Judgment on the Pleadings Against Defendant Luis Castaneda See Line 2 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order & Judgment.

9:00 3	25CV480264	<i>Lee Drone</i> <i>v.</i> <i>Peter D. Bear, et al.</i>	Order on Specially Appearing Dane County Title Company's Motion to Quash Summons See Line 3 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 4	21CV384705	<i>Varrick Partners, LLC</i> <i>v.</i> <i>Yellowwood Capital, Inc., et al.</i>	Order on Plaintiff Rekhi Bros. Inc.'s Motion for Sanctions against Defendant Kenneth Hurley See Line 4 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 5	25CV461059	<i>Randy Musterer</i> <i>v.</i> <i>Nathan Murillo, et al.</i>	Order on Plaintiff's Motion for Protective Order Re Defendants' Deposition Subpoenas to Snap Advisory Inc. for Production of Documents See Line 5 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.

9:00 6	24CV444941	<i>Bank of America, N.A.</i> v. <i>Anthony Snyder</i>	Order on Plaintiff Bank of America N.A.'s Motion to Set Aside and Vacate Prior Order of Dismissal and for Entry of Judgment pursuant to Stipulation of the Parties See Line 6 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 7	2008-1-CV-131533	<i>First Resolution Investment Corp.</i> v. <i>Richard J. Torres</i>	Order on Assignee River Heights Capital LLC's Motion to Vacate the Judgment entered on April 14, 2029 and the Renewal of Judgment filed on March 26, 2019 against Defendant Richard J. Torres, and dismiss the case with prejudice. See Line 7 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 8	18CV329214	<i>Remedios Domondon, et al.</i> v. <i>Fely P. Mabutas, et al.</i>	Order on Order to Show Cause (OSC) Hearing on why the trial date set for August 17, 2026 should not be vacated See Line 8 below for complete tentative ruling. After the hearing, the Court will prepare and file the formal Order.
9:00 9			
9:00 10			
9:00 11			

9:00 <u>12</u>			
9:00 <u>13</u>			
9:00 <u>14</u>			
9:00 <u>15</u>			

Line 1

Case Name: *The Heights Residence, LLC v. Victoria Soboleva, et al.*

Case No.: 23CV417705

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Cross-Defendant Paxos Trust Company LLC (“Paxos”) demurs under Code of Civil Procedure Section 430.10(e) to the First Amended Cross-Complaint (“FACC”) of Cross-Complainant U.S. Bank Trust National Association, solely as HOF Grantor Trust 3 (“USB Trust 3”) on three grounds: (1) USB Trust 3 lacks standing to sue because the FACC does not adequately allege assignment of accrued tort claims from Aureus Finance Group, LLC (“Aureus”); (2) the challenged causes of action are time-barred; and (3) the challenged causes of action are legally insufficient. Notice of Demurrer (the “Demurrer”) at 3:2-15 (filed: November 21, 2025). The Demurrer is directed to the First Cause of Action (Negligence), Second Cause of Action (Negligence Per Se), Fifth Cause of Action (Aiding and Abetting Fraud), and Sixth Cause of Action (Aiding and Abetting Conversion). (*Id.*)

The Demurrer came on for hearing on August 7, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. BACKGROUND

The underlying action was filed on June 14, 2023. USB Trust 3 filed its original Cross-Complaint on July 23, 2025, and the operative FACC on October 23, 2025. Paxos filed its demurrer to the FACC on November 21, 2025. USB Trust 3 filed an opposition on July 27, 2026, and Paxos filed a reply on July 31, 2026. The parties met and conferred prior to the filing of the demurrer but were unable to reach an agreement.

The Court accepts as true all material facts properly pleaded in the FACC for purposes of this demurrer. (*William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294; *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

Between November 2020 and March 2022, Jae Shin and Victoria Soboleva fraudulently opened accounts in the name of The Heights Residence, LLC (“The Heights”), misrepresented themselves as officers of The Heights to Aureus, and caused Aureus to fund a \$5.25 million loan secured by real property located at 2051 Waverley Street, Palo Alto, California. (FACC ¶¶ 10- 24, 30-42). On March 15, 2022, immediately after loan proceeds were wired to a Bank of America account controlled by Soboleva, approximately \$4.536 million was transferred to an account at Paxos held in The Heights’ name by an individual using the name “Paul Michael Peterson.” (FACC ¶¶ 31-33, 43-50). Within hours, Peterson

converted all funds to approximately 116 Bitcoin and initiated withdrawal through ChipMixer.com, a darknet cryptocurrency mixing service. (*Id.* at ¶ 50).

On November 2, 2022, after nearly eight months of non-payment on the loan, Aureus executed an “Assignment of Deed of Trust,” assigning its beneficial interest in the Deed of Trust (recorded March 14, 2022, as Instrument Number 25259166) to U.S. Bank Trust National Association, solely as trustee of HOF Grantor Trust 1. (FACC ¶¶ 26-28). Contemporaneously, Aureus assigned its right, title, and interest in the Secured Note. (*Id.*) The Assignment was recorded in Santa Clara County on January 9, 2023, as Instrument Number 25423960. (*Id.*)

Also on November 2, 2022, HOF Grantor Trust 1 executed an “Assignment of Deed of Trust,” assigning its beneficial interest to USB Trust 3 (the Cross-Complainant). (FACC ¶ 27). Contemporaneously, HOF Grantor Trust 1 assigned its right, title, and interest in the Secured Note. (*Id.*) The Assignment from HOF Grantor Trust 1 to USB Trust 3 was recorded on January 9, 2023, as Instrument Number 25423961. (*Id.*)

The FACC alleges that as a result of these assignments, USB Trust 3 “succeeded Aureus with respect to the loan and deed of trust, including to all claims made herein, because the accrued causes of action, whether in contract or tort, cannot be asserted apart from the Secured Note and Deed of Trust or are essential to a complete and adequate enforcement of the Secured Note and Deed of Trust.” (FACC ¶ 28).

USB Trust 3 did not learn of Paxos’s role until 2024, when subpoenas to Bank of America (served February 2024, responded March 2024) revealed the transfer path to Paxos, followed by subpoenas to Paxos (March and May 2024) producing account documents. (FACC ¶ 31-32).

II. DEMURRER

A. Legal Standards on Demurrer

A demurrer tests whether the pleading states facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).) The court treats the demurrer as admitting all material facts properly pleaded, but not contentions, deductions, or conclusions of fact or law. (*William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294; *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Court also considers matters subject to judicial notice.

The burden falls on the demurring party to demonstrate that the complaint is legally insufficient on its face; if any reasonable interpretation of the pleading states a cause of action, the demurrer must be overruled. (*Sheen v. Wells Fargo Bank* (2022) 12 Cal.5th 905.)

A plaintiff or cross-complainant who fails to allege facts showing it is the real party in interest fails to state a cause of action, and that defect is properly tested by demurrer

under Code of Civil Procedure section 430.10, subdivision (e). (*Lazar v. Bishop* (2024) 107 Cal.App.5th 668.)

Importantly here, a pleading asserting assigned rights “must describe the subject matter of the assignment with sufficient particularity to identify the rights assigned.” (*Heritage Pacific Financial v. Monroy CA1/2* (2013) 215 Cal.App.4th 972, 988). Failure to do so warrants sustaining a demurrer for lack of standing. (*Id.* at 993).

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. “Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217, 1227.) “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not.” (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

B. Analysis of the Demurrer

1. Assignment of Tort Claims Under California Law

USB Trust 3 does not dispute that the assignment agreements here do not contain express language assigning Aureus’s tort claims against third parties. Instead, USB Trust 3 contends that the tort claims passed automatically as “incidents” of the assignment of the Secured Note and Deed of Trust under Civil Code section 1084, which provides that “[t]he transfer of a thing transfers also all its incidents, unless expressly excepted[.]” Civil Code § 1984.

California law does not support USB Trust 3’s position. In *Heritage Pacific Financial v. Monroy CA1/2* (2013) 215 Cal.App.4th 972, the Court of Appeal held that assignment of a promissory note does not automatically transfer the original lender’s accrued tort claims against third parties, because such claims are not incidents of the note as a matter of law. (*Id.* at 989-990). The *Heritage Pacific* court explained that “[f]raud rights are not, as a matter of law, incidental to the transfer of” contractual rights and thus must be specifically identified as a right being assigned. (*Id.* at 991). The assignment agreement at issue in *Heritage Pacific*—which provided that the seller “does hereby sell, assign and convey to Buyer, its successors and assigns, all right, title and interest in the loan”—only “showed an assignment of [the] promissory note” and “did not carry with it a transfer of [the original lender’s] tort rights.” (*Id.* at 989-990).

The *Heritage Pacific* court rejected the assignee’s reliance on *National Reserve Co. of America v. Metropolitan Trust Co.* (1941) 17 Cal.2d 827, 833, which held that “[i]f an accrued cause of action cannot be asserted apart from the contract out of which it arises or is essential to a complete and adequate enforcement of the contract, it passes with an assignment of the contract as an incident thereof.” The Court of Appeal in *Heritage Pacific* held that *National Reserve* did not help the plaintiff, because fraud is an “ancillary,” not an “incidental,” cause of action to the contract. (*Heritage Pacific*, 215 Cal. App. 4th at 992-993).

Here, the FACC’s allegations mirror the deficient pleading in *Heritage Pacific*. USB Trust 3 alleges only a conclusory legal assertion that the tort claims “cannot be asserted apart from the Secured Note and Deed of Trust or are essential to a complete and adequate enforcement of the Secured Note and Deed of Trust.” (FACC at ¶ 28). This is a legal conclusion, not a factual allegation showing express assignment or identifying any contractual provision describing the alleged assignment of tort claims with “sufficient particularity.” (*Heritage Pacific*, 215 Cal. App. 4th at 988, 991). USB Trust 3’s burden is to plead facts showing an assignment of the right to pursue tort claims allegedly committed against Aureus. (*Id.* at 988). And USB Trust 3 does not dispute that it “has not pointed to any contractual provision describing the alleged assignment of tort claims[,]” (Opp. at 12:4-5, cleaned up), but rather wrongly (in light of *Heritage Pacific*, *supra* at 988) insists that is “not required.” (Opp. at 12:5-6).

2. SMS Financial Does Not Compel a Different Result

USB Trust 3 relies heavily on *SMS Fin. XXIII, LLC v. Cornerstone Title Co.* (2018) 19 Cal.App.5th 1092, arguing that it establishes an exception to *Heritage Pacific* where tort claims are essential to enforcement of the assigned instrument. (Opp. at 10:21-28.) The Court finds this reliance misplaced.

SMS Financial is materially distinguishable. In *SMS Financial*, the assignee asserted a claim under Civil Code section 2941, subdivision (b)(6), which provides a statutory cause of action to “any party” damaged by a title company’s improper release of a mortgage or deed of trust. (*Id.* at 1095-1096, citing Civ. Code § 2941). Section 2941 expressly authorizes “the person affected by the violation”—including those who hold deeds of trust by assignment—to sue the title company. (*Id.* at 1097, citing Civ. Code § 2941(b)(6) & (d)) The *SMS Financial* court held that “[b]y virtue of holding the deed of trust by assignment from [the assignor], SMS has its own potential claim against [the title company] under section 2941, subdivision (b)(6), regardless of any claims that [the assignor] may have been or may still be able to assert.” (*Id.* at 1100).

The *SMS Financial* court itself expressly distinguished *Heritage Pacific*, explaining that *Heritage Pacific* concerned “whether a lender’s preexisting fraud claims, which arose from misrepresentations made to the lender in a loan application, were incidental to the transfer of the loan,” and confirming “that as a matter of law they were not.” (*Id.* at 1100) The key distinction is that *SMS Financial* involved a statutory right that vested in the current holder of the deed of trust by operation of the statute itself, not an assignment of a common-law tort claim that accrued to the assignor before the assignment.

Here, USB Trust 3 asserts no claim under Civil Code section 2941 or any other statute that confers an independent right on the current holder of the instrument. Instead, USB Trust 3 seeks to pursue Aureus’s common-law tort claims for negligence, negligence per se, aiding and abetting fraud, and aiding and abetting conversion—claims that accrued to Aureus in March 2022, months before the November 2, 2022 assignments. (FACC at ¶¶ 27-28). These are precisely the type of “ancillary” tort claims that *Heritage Pacific* held do

not pass automatically with an assignment of contractual rights. (*Heritage Pacific*, 215 Cal. App. 4th at 992).

3. The Tort Claims Are Not Essential to Enforcement of the Note and Deed of Trust

USB Trust 3's allegation that the tort claims are "essential to a complete and adequate enforcement" of the Secured Note and Deed of Trust fails under *Heritage Pacific*'s analysis. (FACC ¶ 28). As Paxos correctly argues in its reply, *National Reserve Co.* explained that claims for "rescission" or "reformation" of the contract would be essential to the enforcement of the contract. (*National Reserve Co. of America v. Metropolitan Trust Co. of California* (1941) 17 Cal. 2d 827, 833). Tort claims against third parties for wrongful diversion of loan proceeds are not claims to rescind or reform the Note or Deed of Trust; they are independent claims for damages.

To be sure, USB Trust 3 may assert its contractual rights to recover the loan proceeds from those in contractual privity with it. *But* USB Trust 3 has not adequately alleged that it was assigned Aureus's separate tort rights against Paxos, a non-party to the loan transaction. The fact that both the tort claims and the contract relate to the same underlying loan proceeds does not make the tort claims "essential to enforcement" of the contract as that phrase is understood under *Heritage Pacific* and *National Reserve Co.*

Moreover, Paxos correctly observes that "[t]ort claims do not 'enforce' a contract." (Reply at 9:11, citing *Exxess Electronixx v. Heger Realty Corp.* (1998) 64 Cal. App. 4th 698, 709). Here, USB Trust 3 does not seek to rescind or reform the deed of trust. So its tort claims against a non-party to its contract do not enforce that contract and do not automatically pass with that contract under Civil Code section 1084.

4. USB Trust 3 Has Not Met Its Pleading Burden To Establish Standing To Sue Paxos

As explained above, California law requires that an assignment agreement "must describe the subject matter of the assignment with sufficient particularity to identify the rights assigned." (*Heritage Pacific*, 215 Cal. App. 4th at 988, 991). USB Trust 3 bears the burden of proving an assignment of the right to pursue tort claims allegedly committed against Aureus. (*Id.*). Again, USB Trust 3 does not dispute that that it "has not pointed to any contractual provision describing the alleged assignment of tort claims." ((Opp. at 12:4-5, cleaned up), Reply in Supp.) Instead, USB Trust 3 relies solely on the conclusory allegation that the tort claims "cannot be asserted apart from" or "are essential to" enforcement of the Note and Deed of Trust. (FACC ¶ 28).

Under *Heritage Pacific*, this conclusory allegation is insufficient. The assignment agreement in *Heritage Pacific* was "completely silent regarding any tort claim" and the plaintiff "cannot allege general custom and practice to expand the assignment agreement to include ancillary rights not specified." (*Heritage Pacific*, 215 Cal. App. 4th at 992). The same deficiency exists here. Without factual allegations showing express assignment of the tort claims or identifying specific contractual language assigning those rights with sufficient

particularity, USB Trust 3 has not met its pleading burden here under Code of Civil Procedure section 430.10, subdivision (e).

5. The Assignment Defect Affects All Four Challenged Causes of Action at the Pleading Stage

The standing defect affects all four causes of action challenged in Paxos's demurrer. The First Cause of Action (Negligence) and Second Cause of Action (Negligence Per Se) allege that Paxos owed a duty of care to USB Trust 3 and breached that duty by failing to prevent its institution from being used to facilitate criminal activity. (FACC ¶¶ 62-66, 78-81) These are tort claims seeking to recover damages for injuries Aureus allegedly suffered when the loan proceeds were diverted through Paxos in March 2022—before the assignments to USB Trust 3. (FACC ¶¶ 26-27). .

Likewise, the Fifth Cause of Action (Aiding and Abetting Fraud) and Sixth Cause of Action (Aiding and Abetting Conversion) are tort claims alleging that Paxos knowingly assisted Shin and Soboleva in defrauding Aureus and converting Aureus's loan proceeds. (FACC ¶¶ 112-114, 121-124). These claims, too, are based on conduct directed at Aureus and injuries that accrued to Aureus in March 2022. The fact that USB Trust 3 later acquired the Note and Deed of Trust does not automatically vest USB Trust 3 with standing to pursue these accrued tort claims absent adequate allegations of express assignment.

III. CONCLUSION AND ORDER

Having carefully considered the Demurrer, Opposition, Reply, supporting declarations, and judicially noticeable materials, the Court **SUSTAINS** the Demurrer **WITH LEAVE TO AMEND** on the ground that the FACC does not adequately allege facts showing assignment of the accrued tort claims to establish standing.

The Court sustains the demurrer *with* leave to amend. While the current pleading is deficient, it is possible that USB Trust 3 may be able to cure the defect by alleging additional facts. (*McDonald, supra*, 180 Cal. App. 3d at 303-304.) USB Trust 3 may, *if* it can do so truthfully and in good faith, allege: (1) specific contractual language in the assignment agreements expressly assigning Aureus's tort claims against third parties; (2) facts showing that the parties to the assignment agreements intended to transfer tort claims in addition to contractual rights; (3) a separate written agreement assigning the tort claims; or (4) other facts demonstrating that USB Trust 3 has standing to pursue these tort claims against Paxos.

Note well that the Court makes no determination at this time whether such allegations, if made, would be sufficient to withstand demurrer, or whether USB Trust 3 can make such allegations consistent with its obligations under Code of Civil Procedure section 128.7. The Court notes only that the current pleading does not adequately allege assignment of the tort claims under *Heritage Pacific Financial, LLC v. Monroy* and related authorities, and that leave to amend is appropriate to afford USB Trust 3 an opportunity to cure this deficiency if possible.

Accordingly, for the foregoing reasons, the Court **SUSTAINS** Cross-Defendant Paxos Trust Company, LLC's Demurrer to the First Amended Cross-Complaint as to the First Cause of Action (Negligence), Second Cause of Action (Negligence Per Se), Fifth Cause of Action (Aiding and Abetting Fraud), and Sixth Cause of Action (Aiding and Abetting Conversion) **WITH LEAVE TO AMEND**.

Specifically, Cross-Complainant U.S. Bank Trust National Association, solely as Trustee of HOF Grantor Trust 3, shall have **fifteen (15) days** from the date of service of this order to file a Second Amended Cross-Complaint curing the deficiencies identified herein. If no Second Amended Cross-Complaint is filed within that time, the demurrer will be deemed sustained without leave to amend as to the challenged causes of action. All other parties, in turn, may answer or otherwise respond to the SAC in any manner allowed, and within the time allowed, by the Code of Civil Procedure.

Because the Court sustains the Demurrer on the threshold ground of lack of standing because of inadequate fact allegations of assignment, the Court need not and does not reach Paxos's alternative grounds for Demurrer based on statute of limitations or legal insufficiency. Those issues may be raised in a subsequent demurrer if USB Trust 3 files a Second Amended Cross-Complaint.

SO ORDERED.

Date: August 7, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 2

Case Name: *Creditors Adjustment Bureau, Inc. v. Luis Castaneda, et al.*

Case No.: 25CV475688

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Creditors Adjustment Bureau, Inc. (“Plaintiff”) moves under Code of Civil Procedure Section 438(c) for Judgment on the pleadings on the grounds that the Complaint states facts sufficient to constitute a cause of action against Defendant Luis Castaenda (“Defendant”),¹ and Defendant’s answer does not state facts sufficient to constitute a defense to the Complaint. Notice of Motion (the “Motion”) at 1:21-2:2 (filed: February 13, 2026).

The Motion came on for hearing on August 7, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

On September 19, 2025, Plaintiff filed a Complaint with a First Cause of Action for Breach of Contract (among other causes of action) against Defendant for damages: (1) in the amount of \$15,707.23 together with interest thereon at the rate of ten percent (10%) per annum from May 17, 2025, *plus* (2) treble damages under Insurance Code § 11760.1(a), *plus* costs for this suit. Complaint at ¶¶ 1-18 & Prayer for Relief as to the First Cause of Action at ¶¶ 1-3 (filed Sept. 19, 2025). Having reviewed the Complaint, the Court finds that it *does* state facts sufficient to constitute a cause of action for breach of contract by Plaintiff against Defendant including the damages sought.

Defendant filed an Answer on January 20, 2026, which does not deny any allegation or claim in the Complaint. Answer (filed Jan. 20, 2026). Indeed, in the Answer “Defendant admits *all allegations* of the Complaint” and “acknowledges the debt owed in the amount of \$15,707.23.” Answer at ¶ 3(b) (emphasis added). Having reviewed the Answer, the Court finds that it *does not* state facts sufficient to constitute any defense to the Complaint.

Code of Civil Procedure Section 438(a) authorizes a Plaintiff to bring this Motion for Judgment on the Pleadings where, as here, “the complaint states facts sufficient to constitute a cause or causes of action against the defendant and the answer does not state facts sufficient to constitute a defense to the complaint.” C.C.P. § 438(a).

¹ More specifically, as named in the Complaint, Defendant is Luis Castaneda aka Luis A. Castaneda aka Luis Alejandro Castaneda-Rios aka Luis Alejandro Rios aka Luis A. Castaneda Rios dba Castaneda Construction. (Complaint filed Sept. 19, 2025).

Here, as the Court has found that (1) the Complaint states facts sufficient to constitute a cause of action for breach of contract against Defendant for damages in the amount of \$15,707.23 plus interest, plus treble damages in the amount of \$47,121.69,² plus costs of suit, and (2) Defendant's Answer does *not* state facts sufficient to constitute any defense to the Complaint, Plaintiff's Motion under Section 438(a) is **GRANTED** in all respects.

Moreover, as the Court reads Defendant's Answer to admit that he admits all allegations in the Complaint including that Defendant owes the debt claimed by the Complaint, there is no reasonable possibility that this defective pleading (that fails to state facts sufficient to constitute any defense) could be cured by amendment. Accordingly, the Motion is **GRANTED WITHOUT LEAVE TO AMEND**.

Defendant does not argue otherwise. Indeed, Defendant has not opposed the Motion at all, which the Court views as Defendant conceding the Motion in its entirety. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated "as an admission that the motion is meritorious") (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): "A failure to oppose a motion may be deemed a consent to the granting of the motion." CRC Rule 8.54(c).

Given this Order Granting Plaintiff's Motion without leave to amend, Plaintiff is entitled to Judgment now in the amount of damages sought in the Complaint of \$15,707.23, *plus* interest on the principal debt to the date of this hearing in the amount of \$1,923.60 as sought in the Complaint,³ *plus* treble damages in the amount of \$47,121.69 under Insurance Code § 11760.1(a) as sought in the Complaint,⁴ plus costs incurred for bringing this Motion in the amount of \$782.02.⁵ So the total amount that Plaintiff is entitled to now is \$65,534.54.⁶

Accordingly, Judgment is entered now in favor of Plaintiff and against Defendant for the total amount of \$65,534.54.

² \$15,707.23 x 3 = \$47,121.69

³ *See* Declaration of attorney Kenneth J. Freed in Support of Motion ("Freed Decl.") at ¶ 4 ("The interest on the principal debt is at a rate of 10%. The total interest accumulated as to the date of hearing will be \$1,923.60).

⁴ For clarity of the record, the amount of treble damages of \$47,121.69 is based on the principal balance of \$15,707.23, i.e., 3 times \$15,707.23 = \$47,121.69. Pl. Memo. of Points & Authorities at 4:9-10.

⁵ Freed Decl. at ¶ 5 ("As of this filing, costs for this suit has accumulated to \$782.02).

⁶ \$65,534.54 = \$15,707.23 (damages) + \$47,121.69 (treble damages) + \$1,923.60 (interest) + 782.02 (costs).

Conclusion and Order

For the reasons set forth above, Plaintiff's Motion for Judgment on the pleadings in the total amount of \$65,534.54. in favor of Plaintiff Creditors Adjustment Bureau, Inc. and against Defendant Luis Castaenda is **GRANTED WITHOUT LEAVE TO AMEND.**

SO ORDERED.

Date: August 7, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

Judgment

Plaintiff's Motion for Judgment on the Pleadings in favor of Plaintiff Creditors Adjustment Bureau, Inc. and against Defendant Luis Castaenda came regularly for a hearing by the Court on August 7, 2026, on notice duly given. After reviewing all the papers and giving counsel for all parties the opportunity to be heard, the Court **GRANTS THE MOTION WITHOUT LEAVE TO AMEND.**

ACCORDINGLY, IT IS SO ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiff Creditors Adjustment Bureau, Inc. have and recover now from Defendant Luis Castaenda a **Total Judgment in the amount of \$65,534.54**, which equals damages of \$15,707.23 plus treble damages of \$47,121.69 plus interest of \$1,923.60 plus costs of \$782.02.

Date: August 7, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

Line 3

Case Name: *Lee Drone v. Peter D. Bear, et al.*

Case No.: 25CV480264

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Specially-Appearing Defendant Dane County Title Company, LLC (“Dane County Title” or “Defendant”) moves under Code of Civil Procedure Section 418.10(a)(1) to Quash Service of Summons on the grounds that the Court lacks jurisdiction over Dane County Title, a Wisconsin company. Notice of Motion (the “Motion”) at 1:23-66 (filed: January 20, 2026). In the alternative, Dane County Title moves under Code of Civil Procedure Section 418.10(a)(2) to dismiss this matter on the grounds that Santa Clara County is an inconvenient forum. *Id.* at 26-27.

The Motion came on for hearing on August 7, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

I. Factual Allegations

According to the Complaint, on November 1, 2021, Plaintiff and Ian Goodman , as co-owners, purchased the real property located at 1430 Ellen Avenue, Madison, Wisconsin (“Wisconsin Property”). Dane County Title Company acted as the settlement agent for the transaction (Complaint ¶¶ 1, 2)

Some dispute arose between Plaintiff and Ian Goodman. As a result, Ian Goodman, through his attorney Peter Bear, sent various email communications to Plaintiff regarding their co-ownership agreement, offer to purchase Plaintiff’s share, Goodman’s petition for harassment injunction, and service of the restraining order. Peter Bear and Plaintiff exchanged email communications pertaining to the legal proceedings in Wisconsin, discovery, settlement terms and proposals. Some of the email communications contained production of Plaintiff’s loan application without redacting Plaintiff’s private information, and Goodman’s petition, which contained false statements. (Complaint ¶¶ 2-10, 26-107)

As a result of Defendants’ wrongful acts and communications, Plaintiff was unlawfully excluded from use and disposition of the Wisconsin Property; has incurred litigation costs, travel costs, loss of work time; has suffered reputational harm and emotional distress. (Complaint ¶¶ 197-198)

Plaintiff initiated this action on November 21, 2025, alleging 84 causes of action:

Count 1 - Negligent Mishandling of Property-Related Financial Records; Breach of custodial duty as settlement agent

Count 2- Negligent Misrepresentation; Failure to preserve accuracy in closing documentation

Count 3 - Intentional Interference with Property Rights; Attorney-assisted coercive real-estate proposal used to pressure surrender of co ownership interest

Count 4- Fraudulent Misrepresentation; Misleading use of attorney signature block to induce reliance

Count 5 - Economic Duress; Embedding legal threats, deadlines, and financial pressure to coerce property transfer

Count 6- Unlawful Restraint on Speech and Conduct; Embedding lifetime no-contact and behavioral restrictions in attorney-shaped proposal

Count 7 - Constructive Fraud; Exploiting implied attorney expertise to conceal material risks and liabilities

Count 8- Coerced Waiver of Legal Rights; Embedding unlawful waivers of communication and legal rights inside coercive proposal

Count 9 - Fraudulent Misrepresentation; False assurances regarding financial terms, legal effect, and liability consequences

Count 10 - Intentional Interference with Contractual Relations; Attorney-driven interference with existing co-ownership and contractual obligations

Count 11- Abuse of Process under California Common Law; Retaliatory use of judicial process after refusal to surrender property

Count 12 - Negligent Misrepresentation; Use of false Wisconsin address to obtain defective service and jurisdiction

Count 13 – Defamation; Fabricated claim of access to weapons to influence judicial process

Count 14 - Concealment of Material Facts; Failure to identify the subject property in official service record;

Count 15 - Intentional Interference with Property Rights; Coercive transmission of renewed proposal and affidavit through attorney intermediary

Count 16 - Fraudulent Misrepresentation of Judicial Status; Misuse of void temporary restraining order to coerce property transfer

Count 17 - Economic Duress; Use of pending and prospective judicial filings as leverage for property transfer

Count 18 - Intentional Interference with Property Rights; Re-issuance of purchase offer with behavioral restrictions and deadline pressure

Count 19 - Misrepresentation of Service by Publication and Default Status; False representation of completed service used to induce agreement

Count 20 - Economic Duress; Quid-pro-quo settlement linked to anticipated court success

Count 21- Intentional Interference with Property Rights; Use of electronic communication to coerce property transfer outside judicial process

Count 22 – Defamation per se; Use of professional authority to impair liberty and property interests

Count 23 - Abuse of Process; Coercive use of litigation and publicity threats to obtain property

Count 24 - Economic Duress; Economic coercion through quid-pro-quo agreement to withhold legal action ad

Count 25 - Fraudulent Misrepresentation; Use of asserted judicial authority to pressure settlement

Count 26 - Abuse of Process; Framing separate legal and private issues to extend leverage

Count 27 - Constructive Fraud; Failure to include lender release or mortgage protection

Count 28 - Civil Conspiracy to Commit Fraud; Joint action to divest property interest without due process

Count 29 - Abuse of Process; Use of judicial order as instrument of private coercion

Count 30 - Fraudulent Concealment; Presentation of facially neutral documents masking threats

Count 31 - Economic Duress; Attorney's direct issuance of coercive proposal through misuse of his professional role

Count 32 - Negligent Entrustment of Confidential Financial Information; Improper upstream disclosure of sensitive lender-file materials to an unauthorized attorney

Count 33 - Negligent Mishandling of Records; Failure to safeguard co-owned financial documents prior to transmission to third parties

Count 34 - Invasion of Privacy (Informational Privacy); Disclosure of Plaintiff's lender-file document by co-owner outside lawful process

Count 35 - Causation of Public Disclosure of Private Facts; Upstream financial-document disclosure resulting in downstream public exposure

Count 36 - Abuse of Process; Failure to provide corroborating materials referenced in sworn affidavit

Count 37 - Abuse of Process; Withholding chain-of-custody information for recordings referenced in sworn filings

Count 38 - Abuse of Process; Procedural deprivation through unserved and incomplete filing

Count 39 - Slander of Title; Misrepresentation of property interest to diminish recorded title

Count 40 - Defamation per se; Insertion of irrelevant personal attacks to bias judicial proceeding

Count 41 - Abuse of Process; Application of waiver theory to nullify jurisdictional protections

Count 42 - Abuse of Process; Evasion of lawful service requirements through unauthorized delegation

Count 43 - Abuse of Process; Failure to correct co-counsel's unlawful service conditions

Count 44 - Abuse of Process; Evasion of lawful service requirements by providing invalid address

Count 45 - Abuse of Process; Unlawful conditioning of procedural rights on non-statutory terms

Count 46 - Abuse of Process; Expansion of unauthorized service demands across multiple proceedings

Count 47 - Civil Conspiracy to Commit Abuse of Process; Coordinated evasion and obstruction of lawful service between co-counsel

Count 48 - Abuse of Process; Failure to ensure lawful service depriving notice and participation

Count 49 - Abuse of Process; Neglect of mandatory service obligations resulting in denial of notice

Count 50 - Abuse of Process; Improper electronic service of initiating pleadings without authorization

Count 51 - Abuse of Process; Tacit participation in unauthorized electronic service of pleadings

Count 52 - Abuse of Process; Improper timing and electronic delivery of hearing evidence without adequate notice

Count 53 - Public Disclosure of Private Facts; Use and circulation of outdated and protected correspondence to influence judicial proceedings

Count 54 - Civil Conspiracy to Commit Abuse of Process; Joint preparation and submission of unauthorized hearing exhibits

Count 55 - Intentional Misrepresentation Regarding Property Ownership; Initial misrepresentation establishing ongoing ownership-pressure scheme

Count 56 - Unfair Business Practices (Pattern of Fraudulent Conduct); Linking renewed proposal, affidavit, and threats to earlier fraudulent acts

Count 57 - Unfair Business Practices (Use of judicial Process to Coerce Property Transfer); Integration of proposal, petition, and service filings into continuing pattern of wrongful acts

Count 58 - Civil Conspiracy to Commit Fraud; Affidavit used as key act supporting ongoing fraudulent scheme

Count 59 - Unfair Business Practices (Pattern of Fraudulent and Coercive Conduct); Incorporating December 19 email and offer as additional acts in ongoing scheme

Count 60 - Abuse of Process; Use of belief-based affidavit and evidence refusal as continuing acts of obstruction

Count 61 - Unfair Business Practices (Evidence Obstruction and Coercive Settlement); Use of evidence refusal, belief-based affidavit, and coercive settlement as continuing acts

Count 62 - Public Disclosure of Private Facts; Integration of January 8, 2024, leak into continuing pattern of wrongful disclosure

Count 63 - Invasion of Privacy (Informational Privacy); Integration of Ian Goodman's disclosure into ongoing pattern of privacy invasion and coercive conduct

Count 64 - Civil Conspiracy to Commit Abuse of Process and Fraud; Obstruction, threats, and false-record email cluster as related acts in ongoing scheme

Count 65 - Abuse of Process; Defective filing, false statements, and jurisdictional manipulation as acts of misuse of process

Count 66 - Abuse of Process; Use of service obstruction as continuing acts of misuse of process

Count 67 - Economic Duress and Coercive Use of Litigation Threats; Use of threatened litigation and fear to obtain property interests

Count 68 - Abuse of Process; Advocate-as-witness misconduct and fabrication of evidence

Count 69 - Abuse of Process; Use of interstate email to circumvent lawful service and advance injunction proceedings

Count 70 - Invasion of Privacy (Informational Privacy); Unauthorized acquisition and initial disclosure of personally identifiable and financial data

Count 71 - Invasion of Privacy (Informational Privacy); Unauthorized use of confidential financial records outside any lawful process

Count 72 - Abuse of Process; Withholding evidence and altering records to impair defense

Count 73 - Abuse of Process; Interstate email scheme to misrepresent service and gain procedural advantage

Count 74 - Economic Duress through Coercive Settlement Terms; Wrongful use of fear and litigation threats to obtain property rights

Count 75 - Economic Duress through Coordinated Litigation and Reputation Threats; Coercive litigation threats and property-surrender demands in coordinated package

Count 76 - Economic Duress via Threatened Litigation and Reputational Harm; Fear of litigation and reputation used as economic coercion

Count 77- Economic Duress through Injunction-Conditioned Property Demands; Pattern of injunction-conditioned property demands as ongoing course of economic duress

Count 78 - Invasion of Privacy (Informational Privacy); Interstate electronic release of confidential loan-application data

Count 79 - Intentional Misrepresentation (Fraudulent Inducement); Use of interstate email for coercive property offers and fraudulent inducement

Count 80 - Abuse of Process; Suppression of recordings and use of evidence requests for settlement pressure

Count 81 - Abuse of Process and Coercive Interference with Petition Rights; Conditioning property relief on silence and withdrawal of participation

Count 82 - Abuse of Process (False Affidavit Use); Submission of affidavit containing belief-based, materially false statements

Count 83 - Negligent Handling of Confidential Financial Information; Negligent custodial handling enabling unauthorized disclosure of loan records

Count 84 - Civil Conspiracy to Commit Fraud and Abuse of Process; Coordinated scheme using misrepresentation and misuse of process to impair property rights.

II. Legal Standard on Motion to Quash

“A defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow” may move “to quash service of summons on the ground of lack of jurisdiction of the court over him or her” that results from lack of proper service. (Code. Civ. Proc. § 418.10(a)(1).) A defendant has 30 days after the service of the summons to file a responsive pleading. (Code. Civ. Proc. § 412.20(a)(3).) “Service of process, under longstanding tradition in our system of justice, is fundamental to any procedural imposition on a named defendant.” (*AO Alfa-Bank v. Yakovlev* (2018) 21Cal.App.5th 189, 202 [internal quotations marks and citation omitted].) To establish personal jurisdiction, compliance with statutory procedures for service of process is essential. (*Kremerman v. White* (2021) 71 Cal.App.5th 358, 371.) Defendant’s knowledge of the action does not dispense with statutory requirements for service of summons. (*Kappel v. Bartlett* (1988) 200 Cal.App.3d 1457, 1466.)

When a defendant moves to quash service of process on jurisdictional grounds, the plaintiff has the initial burden of demonstrating facts justifying the exercise of jurisdiction. (See, *Jayone Foods, Inc. v. Aekyung Industrial Co. Ltd.* (2019) 31 Cal.App.5th 543, 553.) “The plaintiff must do more than merely allege jurisdictional facts. It must present evidence sufficient to justify a finding that California may properly exercise jurisdiction over the defendant.” (*In re Automobile Antitrust Cases I & II* (2005) 135 Cal.App.4th 100, 110.) “If the plaintiff meets this initial burden, then the defendant has the burden of demonstrating that the exercise of jurisdiction would be unreasonable.” (*Jayone Foods, supra*, 31 Cal.App.5th at p. 553.)

III. Analysis of the Motion

A. Motion to Quash

To comport with federal and state due process, California may only exercise jurisdiction when a defendant has sufficient minimum contacts with the state to satisfy traditional notions of fair play and substantial justice. California recognizes two ways in which the constitutional minimum-contacts requirement may be satisfied.

General jurisdiction exists where the nonresident defendant's contacts with the forum state are so "extensive or wide-ranging" as to justify jurisdiction even for purposes unrelated to the defendant's contacts. (*Safe-Lab, Inc. v. Weinberger* (1987) 193 Cal.App.3d 1050, 1053; *Boaz v. Boyle & Co.* (1995) 40 Cal.App.4th 700, 717)

Alternatively, a court may exercise specific jurisdiction over a nonresident defendant only if: (1) the nonresident defendant has purposefully availed himself of forum benefits; (2) the controversy relates to, or arises out of, the nonresident defendant's contacts with the forum; and (3) the exercise of jurisdiction comports with fair play and substantial justice. The specific jurisdiction analysis focuses on the relationship between the defendant, the forum, and the litigation. (See, *Zehia v. Superior Court* (2020) 45 Cal.App.5th 543, 551–552.)

"The purposeful availment inquiry . . . focuses on the defendant's intentionality. This prong is only satisfied when the defendant purposefully and voluntarily directs his activities toward the forum so that he should expect, by virtue of the benefit he receives, to be subject to the court's jurisdiction based on his contacts with the forum. Thus, the purposeful availment requirement ensures that a defendant will not be haled into a jurisdiction solely as a result of random, fortuitous, or attenuated contacts, or of the unilateral activity of another party or a third person. When a [defendant] purposefully avails itself of the privilege of conducting activities within the forum State, it has clear notice that it is subject to suit there, and can act to alleviate the risk of burdensome litigation by procuring insurance, passing the expected costs on to customers, or, if the risks are too great, severing its connection with the State." (*Pavlovich v. Superior Court*, (2002) 29 Cal. 4th 262, 269; internal citations and quotes omitted)

Courts apply the "effects test" to determine purposeful availment not only in defamation context but also in other intentional torts, including business torts. (See, *Id.* at 272-273, fn. 3; *IMO Industries, Inc. v. Kiekert AG* (3d Cir. 1998) 155 F.3d 254, 259-260, 261; *Far West Capital, Inc. v. Towne* (10th Cir. 1995) 46 F.3d 1071, 1077.) Under this test, intentional conduct occurring elsewhere may give rise to jurisdiction in California where it is calculated to cause injury in California. The defendant must expressly aim or target his conduct toward California, with the knowledge that his intentional conduct would cause harm in the forum. (See, *Pavlovich, supra*, 29 Cal. 4th at pp. 271–273; *Calder v. Jones* 465 U.S. 783, 788-790.) California courts emphasize that the analysis must focus on the defendant's contacts with the forum state itself, and not merely the defendant's contacts with a person who resides there. The proper inquiry is whether the defendants' conduct

connects them to the forum in a meaningful way. (See, *Burdick v. Superior Court*, (2015) 233 Cal.App.4th 8, 13.)

In this case, specially-appearing Defendant contends that Plaintiff cannot make the necessary showing that it purposefully availed itself of the privilege of conducting business in California because (1) its office is located in Wisconsin, (2) it has no offices in California, (3) it does not perform escrow or title services for properties located in California, (4) it does not advertise in California, (5) Plaintiff's claims arise out of Dane County Title Company's services rendered in Wisconsin for a Wisconsin real property, and (5) Plaintiff personally came to Defendant's offices in Wisconsin for its services. (Motion at 5:14-21) Submitted Declaration of Tammy Janson supports Defendant's contention.

In opposition, Plaintiff contends that his Complaint is about Defendant's dissemination of his private financial information and not about the title to the Wisconsin Property or the validity of the underlying transaction. More specifically, Plaintiff alleges in his complaint and argues in his Opposition that Cane County Title Company included his Uniform Residential Loan Application ("URLA") within shared closing materials that was distributed beyond lender underwriting channels. And Plaintiff argues that those allegations are sufficient to defeat the motion to quash. (Opposition at 2:24-3:26; Complaint ¶¶ 2, 24)

But Plaintiff's arguments fail for two independent reasons:

1. California Rules of Court, Rule 3.1113 requires a memorandum that "contain[s] a statement of facts, a concise statement of the law, evidence and arguments relied on, and a discussion of the statutes, cases, and textbooks cited in support of the position advanced." (California Rules of Court, Rule 3.1113(b); emphasis added.) Here, Plaintiff cites no legal authority in support of his Opposition. A party's failure to provide a memorandum as required by the Rule may be considered an "admission that the [opposition] is without merit and cause for its denial." (Cal. Rules of Court, Rule 3.1113(a), (b); *In re Marriage of Falcone & Fyke* (2012) 203 Cal.App.4th 964, 976.).
2. The Complaint does not allege, nor does Plaintiff submit any competent evidence showing Defendant's conduct was aimed at California and calculated to cause injury in California. Instead, Plaintiff incorrectly argues that mere allegations of his Complaint are sufficient to establish jurisdiction over Defendant. (Opposition at 3:12-26) But Plaintiff must do more than merely allege jurisdictional facts to satisfy his burden. He must present evidence justifying a finding that California may properly exercise jurisdiction over the Defendant. (See, *In re Automobile Antitrust Cases I & II* (2005) 135 Cal.App.4th 100, 110.)

So based on those two independent reasons the Court, in the broad exercise of its discretion, **GRANTS** the Motion to Quash.

B. Motion to Dismiss about Inconvenient Forum

In the alternative, Defendant asks for an order dismissing this matter on the grounds that Santa Clara County is an inconvenient forum.

But as the Court has already decided above to GRANT Defendant's Motion to Quash service of Summons and Complaint, the Court need not and does not reach Defendant's alternative argument to dismiss about an inconvenient forum.

IV. Conclusion & Order

Specially-Appearing Defendant Dane County Title Company, LLC's Motion under Code of Civil Procedure Section 418.10(a)(1) to Quash Service of Summons is **GRANTED**.

SO ORDERED.

Date: August 7, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 4

Case Name: *Varrick Partners, LLC v. Yellowwood Capital, Inc., et al.*

Case No.: 21CV384705 (Consolidated with Case No. 23CV413069)

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Rekhi Bros. Inc. (“Plaintiff” or “RB”) moves under Code of Civil Procedure Sections 425.16(c) and 128.5 for sanctions, specifically for RB’s reasonable attorneys’ fees and costs incurred for the anti-SLAPP motion, against Defendant Kenneth Hurley (“Defendant” or “Hurley”) in the amount of no less than \$21, 202.50. Notice of Motion (the “Motion”) at 1:4-7 (filed: Feb. 13, 2026).

The Motion is made on the grounds that Hurley filed a special motion to strike that, according to Plaintiff, is meritless and any reasonable attorney would know that the special motion cannot survive the “arising from” prong of the anti-SLAPP statute. *Id.* at 11-13. In addition, Hurley was afforded the statutorily mandated 21-day safe harbor period, yet he failed to withdraw or amend the frivolous special motion to strike.

The Motion came on for hearing on August 7, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

BACKGROUND

On June 25, 2021, Varick Partners, LLC (“Varick”) initiated a civil action against Yellowwood Capital, Inc., Mark Gibbs (“Gibbs”), and Rana Rekhi under Case No. 21CV384705. On October 6, 2022, Varick filed a verified First Amended Complaint. On March 17, 2023, Rekhi Bros. Inc. (“RB”) initiated an action against Varick and Kenneth Hurley (“Hurley”) under Case No. 23CV413069. On August 8, 2025, Rekhi filed a First Amended Complaint.⁷ Both these cases were consolidated under Case No. 21CV384705.

According to RB’s FAXC, RB and Wine Globe Holdings, LLC (“Holdings”) entered in an agreement whereby Holdings agreed to purchase, and RB agreed to sell substantially all of RB’s assets for over \$600,000. (FAXC, ¶ 7.) The agreement was thereafter amended. (FAXC, ¶ 8.) As amended, Varick and Holdings executed a promissory note in favor of RB calling for payments in three installments and then escrow closed in March 2020. (FAXC,

⁷ The order on Hurley’s anti-SLAPP refers to Rekhi’s pleading as the first amended cross-complaint or FAXC. The Court does the same here. (See Court’s February 13, 2026 Order, p. 1.)

¶¶ 9-10.) RB received two untimely payments and Holdings intended to make a third payment but Varick's managing member, Hurley, took a series of actions preventing Holdings from doing so. (FAXC, ¶ 12.)

On June 6, 2020, Hurley distributed a letter to Holdings' vendors and business contacts representing that Holdings' former president, Gibbs, had been terminated, causing concern that Holdings was no longer operating legally as Gibbs was the only individual listed on the liquor license. (FAXC, ¶ 13.) Despite Hurley's letter, Gibbs continued to operate Holdings after coming to an agreement with Hurley, but the letter caused substantial disruption to Holdings' business. (*Ibid.*) In February 2021, Hurley took actions to exclude Gibbs from the business entirely in an attempt to operate the business himself; however, he was unable to do so as he had no legal ability to use Holdings' liquor license. (*Ibid.*) Hurley also took control of Holdings' warehouse and changed the locks. (*Ibid.*) Upon realizing he could not operate without the license, Hurley had the liquor inventory removed to a storage facility that he controlled and is still in possession of the inventory. (*Ibid.*)

As a result of these actions, Holdings could not remain in good standing with the Franchise Tax Board and is suspended from doing business in California and RB is owed over \$184,071. (FAXC, ¶¶ 14-17.)

On October 9, 2025, Hurley filed a special motion to strike RB's FAXC pursuant to Code of Civil Procedure section 425.16. RB subsequently opposed the anti-SLAPP motion.

On February 13, 2026, this Court (Hon. Parrett) issued an order denying Hurley's anti-SLAPP motion. The crux of Hurley's argument was that 1) the letter he sent about Gibbs' termination, redirecting accounts, and warehouse changes constituted protected petitioning (Court's Order, p. 7:20-25); and 2) a deposition exchange with RB's counsel was likewise protected activity (*id.* at p. 8:2-7). In addressing Hurley's arguments, the Court reasoned that Hurley failed to meet his threshold burden to show the FAXC arises from protected activity. As to the second argument, the Court explained that Hurley failed to demonstrate that the FAXC arose from exchanges with RB's counsel. (*Id.* at pp. 8:25-9:1.) As for Hurley's first argument, the Court stated that he did not explain how the actions arose from protected activity and failed to present any supporting evidence. (*Id.* at p. 10:17-19.) For these reasons, the Court denied the motion and determined it did not need to reach the issue of whether RB had demonstrated a probability of prevailing on its claims. (*Id.* at p. 11:6-10.)

Hurley has filed an appeal of the Court's order denying his anti-SLAPP. An appeal of an order denying an anti-SLAPP motion does *not* divest the trial court of jurisdiction to consider the plaintiff's motion for attorney fees and costs. (*Carpenter v. Jack in the Box Corp.* (2007) 151 Cal.App.4th 454, 461.)

Currently before the court is RB's Motion for attorney fees brought as the prevailing party on the anti-SLAPP motion. The Motion is opposed.

ANALYSIS OF MOTION

RB seeks to recover \$21,202.50 from Hurley under Code of Civil Procedure Section 425.16, subdivision (c)(1), which provides:

(c)(1) Except as provided in paragraph (2), in any action subject to subdivision (b), a prevailing defendant on a special motion to strike shall be entitled to recover that defendant's attorney's fees and costs. If the court finds that a special motion to strike is frivolous or is solely intended to cause unnecessary delay, the court shall award costs and reasonable attorney's fees to a plaintiff prevailing on the motion, pursuant to Section 128.5.

C.C.P. § 425.16(c)(1).

Code of Civil Procedure section 128.5, provides, in part:

(a) A trial court may order a party, the party's attorney, or both, to pay the reasonable expenses, including attorney's fees, incurred by another party as a result of actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay. . . .

(b) For purposes of this section:

(1) "Actions or tactics" include, but are not limited to, the making or opposing of motions or the filing and service of a complaint, cross-complaint, answer, or other responsive pleading. . . .

(2) "Frivolous" means totally and completely without merit or for the sole purpose of harassing an opposing party.

C.C.P. § 128.5.

As mentioned above, the Court has already determined that RB is the prevailing party in opposing the anti-SLAPP motion. Thus, RB is entitled to a mandatory award of fees if Hurley's motion was frivolous. (*Foundation for Taxpayer & Consumer Rights v. Garamendi* (2005) 132 Cal.App.4th 1375, 1388 ["The imposition of sanctions for a frivolous anti-SLAPP motion is therefore mandatory."].) Frivolousness is found where "any reasonable attorney would agree such motion is totally devoid of merit." (*Ibid.*). And RB asserts that Hurley's motion was frivolous.

Hurley has opposed the motion. In support of the argument that his motion was not frivolous, Hurley argues that the Court did not find that he "fabricated facts, cited nonexistent authority, filed the motion solely to cause delay, or brought the motion solely to harass Plaintiff. Nor did the Court expressly find that the motion was 'totally and completely without merit' under section 128.5." (Opposition, p. 1:14-19.) In ruling on the anti-SLAPP, however, the Court did not concern itself with these issues and only decided that Hurley failed to meet his threshold burden to show the FAXC arises from protected

activity. To further support his assertions, Hurley relies on the same facts he relied on in bringing the underlying motion. Hurley contends that the Court determined his theories were “inadequately shown” and this is not the same as a theory that no reasonable litigant could advance. (Opposition, p. 5.)

In this Motion, RB argues that the gravamen of the FAXC is that “Hurley, using Varick [] as his alter ego, prevented [] Holdings from making the final payment on the Promissory Note. None of the actions attributed to Hurley in the FA[X]C took place within the context of a judicial or other official proceeding, and Hurley’s anti-SLAPP provides no explanation for why these actions should be considered protected petitioning.” (Motion, p. 11:7-11.) The Court finds RB’s argument to be persuasive and true. RB’s action arises from nonpayment under the promissory note and not out of protected activity in sending a letter regarding termination or deposition testimony. (See e.g., *Olive Properties, L.P. v. Coolwaters Enterprises, Inc.* (2015) 241 Cal.App.4th 1169, 1177 [“an ordinary review of established legal authorities would have disclosed the inadequacies of the motion.”].) Accordingly, in the broad exercise of its discretion after reviewing all the papers and the record, the Court finds that Hurley’s motion was frivolous and thus that RB is entitled an award of fees now.

Although the Court has determined that RB is entitled to an award of fees, the Court must still determine that the amount of the fees sought by this Motion is reasonable. (*Cabral v. Martins* (2009) 177 Cal.App.4th 471, 491; *see also, Robertson v. Rodriguez* (1995) 36 Cal.App.4th 347, 361 [court must determine if fee award sought is reasonable]; *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131-1132 [same].)

Specifically, RB seeks sanctions in the amount of \$21,202.50 for attorneys’ fees, which equals approximately 72 hours of professional time at an hourly rate of \$295.00 per hour. (Declaration of Arthur Connors, ¶ 7.) RB asserts that this amount of attorney time at this hourly rate sought is reasonable because RB’s counsel’s work on the anti-SLAPP motion involved analyzing moving papers, reviewing Hurley’s Request for Judicial Notice and attached documents, researching the law, moving ex parte to advance the hearing date, and preparing opposition papers. (*Ibid.*). The Court agrees. In the broad exercise of its discretion, the Court finds that this number of hours at this hourly rate sought is reasonable, and thereby awards RB sanctions to be paid by Hurley in the amount of \$21,202.50 for RB’s reasonable attorneys’ fees and costs for the anti-SLAPP Motion. And Hurley will pay this amount within 30 days of today.

In addition to the \$21,202.50 sought, RB also seeks an additional amount of fees for an *anticipated* additional 15-35 hours to finalize the opposition, draft objections, draft reply briefs, and appear at oral arguments. In the broad exercise of its discretion, the Court does not award any amount for these *anticipated* expenses.

Accordingly, the Motion is **GRANTED** in the total amount of \$21,202.50. Specifically, Hurley is **ORDERED** to pay \$21,202.50 to RB’s counsel within 30 day of today.

Moreover, Hurley is put on **NOTICE** that if he violates this **ORDER** by failing to pay \$21,202.50 to RB's counsel within 30 day of today, Hurley and his counsel may be subject to escalating monetary sanctions as well as non-monetary sanctions.

CONCLUSION & ORDER

Plaintiff Rekhi Bros. Inc.'s Motion is **GRANTED**. Specifically, Defendant Kenneth Hurley is **ORDERED** to pay \$21,202.50 to Plaintiff Rekhi Bros. Inc.'s counsel within 30 days of today.

SO ORDERED.

Date: August 7, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 5

Case Name: *Randy Musterer v. Nathan Murillo, et al.*

Case No.: 25CV461059

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Randy Musterer (“Plaintiff”) moves under Code of Civil Procedure Section 2031.060 for a Protective Order:

1. Limiting the scope, time period, and categories of documents that may be requested to Snap Advisory Inc. (Plaintiff’s accounting services) to information directly relevant to the specific business losses Plaintiff has disclosed in his interrogatory responses, and deposition testimony.
2. Before the disclosure of the requested documents, instruct Snap Advisory Inc. to remit any responsive documents to Plaintiff’s counsel for review and designation of confidential information before any production is made.

Notice of Motion (the “Motion”) at 2:3-11 (filed: July 16, 2026).

Plaintiff makes this Motion on the following grounds:

- A. The requests invade Plaintiff’s constitutional right to privacy by seeking highly sensitive propriety business information, trade secrets, confidential client relationships, and financial data far exceeding the scope of Plaintiff’s claimed damages.
- B. The subpoenas of records are extraordinarily overbroad, unduly burdensome, and oppressive, seeking comprehensive financial audits of Plaintiff and two of his companies for over eight years, particularly when substantial responsive documents have already been produced.
- C. The burden, expense, and intrusiveness of complying with these demands clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence.

Motion at 2:12-23.

The Motion came on for hearing on August 7, 2026, at 9:00 AM in Department 16. The Court has reviewed and considered the moving papers, opposition, reply, declarations and exhibits, arguments of counsel presented at the hearing, and the record. For the reasons set forth below, the Motion is **GRANTED IN PART AND DENIED IN PART**.

I. INTRODUCTION

Plaintiff moves for a Protective Order modifying or quashing deposition subpoenas served by Defendants Nathan Murillo and Bay Area Solar Solutions, Inc. on third-party accounting firm Snap Advisory, Inc. Motion at 1:14-20. The subpoenas seek extensive financial and operational records relating to plaintiff and his business entities, spanning from January 1, 2018, through the present. Plaintiff seeks to limit the scope, time period, and categories of documents to those directly relevant to his disclosed economic losses, and requests that Snap Advisory remit any responsive documents first to plaintiff's counsel for review and designation of confidential information before production to defendants. *Id.* at 2:5-11.

II. PROCEDURAL HISTORY

Plaintiff filed and served this motion on July 16, 2026, setting it for hearing on August 7, 2026. Defendants filed a substantive opposition on July 24, 2026, addressing the merits without claiming prejudice from the notice period or requesting a continuance. Plaintiff filed a reply.

Defendants served three deposition subpoenas for production of business records on Snap Advisory, Inc.: the first on March 25, 2026, with a return date of April 24, 2026; the second on June 15, 2026; and the third on June 25, 2026. Each subpoena requested various categories of financial records for plaintiff and his business entities—including Project WhiteLight LLC, Sushi Confidential locations, and Double Down Sushi—seeking documents dating from January 1, 2018, through the present. Plaintiff objected on grounds including overbreadth, privacy invasion, undue burden, and cumulative effect.

III. FACTUAL BACKGROUND

On March 16, 2023, plaintiff Randy Musterer sustained injuries in a motor vehicle collision allegedly caused by defendant Nathan Murillo, an employee of defendant Bay Area Solar Solutions, Inc. Pl.'s Memo. of Points & Authorities at 2:3-8. Plaintiff seeks economic damages for loss of income, loss of earning capacity, and related operational costs attributable to his inability to perform his job functions following the collision.

Plaintiff's economic damages claim is based on reduced salary, business profit decline, and increased labor costs due to hiring additional staff after the accident. Plaintiff has produced tax returns for the years 2020 through 2024 for himself and his business entities, along with Project WhiteLight earning records for 2023 through 2026, and contends that these documents adequately document his claimed income loss.

Defendants' subpoenas to Snap Advisory, Inc. seek financial and operational records spanning from January 1, 2018—more than five years before the collision—to the present.

Plaintiff contends that compliance with these subpoenas would impose severe burden and expense, that the requests invade his constitutional right to privacy, and that they are duplicative and cumulative of documents already produced.

IV. NOTICE

Plaintiff served the motion electronically on July 16, 2026, for a hearing on August 7, 2026. Motion at 1:1-4. Code of Civil Procedure section 1005(b) requires that motions be served at least sixteen court days before the hearing. C.C.P. § 1005(b). Where service is made electronically, the notice period is extended by two additional court days. (*Ibid.*) Counting forward from July 16, the motion was served fifteen court days before the hearing—one day short of the statutory requirement.

That said, Defendants served a substantive opposition on July 24, 2026, and have not demonstrated prejudice or requested a continuance because the one-day shortened notice period.

In the exercise of its discretion, the Court finds that any notice defect has been waived. The Motion is timely enough and will be considered on the merits now.

V. APPLICABLE LEGAL STANDARDS

A. Statutory Framework for Third-Party Subpoenas

Plaintiff's Motion invokes Code of Civil Procedure section 2031.060 as authority for the protective order. Motion at 2:2-4. Section 2031.060 applies to inspection demands served on a party to the action.

The proper statutory framework to analyze protective relief involving third-party deposition subpoenas is Code of Civil Procedure sections 1987.1 and 2025.420. Def.'s Opposition at 4:12-17.

Code of Civil Procedure section 1987.1 authorizes the court to quash, modify, or direct compliance with a deposition subpoena on terms or conditions the court declares, including protective orders. The Court may make any order appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy. Pl.'s Reply at 5:1-5. Section 2025.420 further provides that before, during, or after a deposition, the court may make any order that justice requires to protect any party, deponent, or affected person from unwarranted annoyance, embarrassment, oppression, or undue burden and expense. Def.'s Opposition at 4:12-17.

While Plaintiff invoked section 2031.060, the interests of justice favor resolving this discovery dispute on the merits, particularly where, as here, Defendants have filed an Opposition and the parties have fully briefed the substantive issues.

B. Overbreadth, Undue Burden, and Proportionality

Under Code of Civil Procedure section 2017.020(a), the court shall limit the scope of discovery if it determines that the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence. Discovery requests that seek records over an unnecessarily long time

period or that encompass categories only tangentially related to the claims in dispute are subject to limitation. Doubts as to relevance should generally be resolved in favor of permitting discovery. (*Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652, 656.)

C. Privacy Rights in Financial Records

California's constitutional right to privacy, enshrined in Article I, Section 1 of the California Constitution, protects individuals' financial and business records from unwarranted disclosure. (*Valley Bank*, 15 Cal.3d at 656.) In *Valley Bank*, the California Supreme Court held that a bank customer has a reasonable expectation of privacy regarding confidential financial affairs. (*Id.* at 657.) The Court must engage in “careful balancing of the right of civil litigants to discover relevant facts, on the one hand, with the right of bank customers to maintain reasonable privacy regarding their financial affairs, on the other.” (*Id.*)

Likewise, in *Williams v. Superior Court of L. A. Cnty.* (2017) 3 Cal.5th 531, the California Supreme Court reaffirmed that when discovery implicates constitutional privacy rights, courts must consider the seriousness of the privacy invasion, the countervailing interests supporting disclosure, and employ narrower alternatives where possible. Financial records warrant constitutional privacy protection. Contact information is generally considered private, though less sensitive than medical history or financial data. (*Id.*)

The party asserting a privacy right must establish a legally protected privacy interest and a reasonable expectation of privacy in the circumstances. Once a privacy interest is shown, the party seeking the information must demonstrate that the information is directly relevant and the discovery is proportionate to the needs of the case. The court must adopt the least intrusive means of obtaining the necessary information.

When a party places a matter in issue, such as income or earning capacity, any privacy waiver is limited to information directly relevant to the issue placed in controversy.

VI. ANALYSIS OF THE MOTION

A. Plaintiff Has Established Good Cause for Protective Relief

Plaintiff has made a specific and particularized showing of good cause for a protective order. The subpoenas seek financial and operational records spanning from January 1, 2018—more than five years before the March 16, 2023 collision—through the present. Plaintiff contends that he has already produced tax returns for 2020 through 2024 and other financial documentation substantiating his claimed economic losses, and that the subpoenas impose an extraordinary burden by effectively demanding an audit of over eight years of business and personal financial data. The burden of compiling such voluminous records from a third-party accounting firm, both in terms of time and expense, is substantial.

Plaintiff has also established a legally protected privacy interest in his personal and business financial records. (*Valley Bank*, 15 Cal.3d at 656.) Financial records held by his

accounting firm are confidential, and plaintiff has a reasonable expectation that detailed financial and operational records will not be disclosed wholesale without judicial scrutiny.

B. The Subpoenas Are Overbroad in Temporal Scope

Defendants seek records dating to January 1, 2018, yet the accident occurred on March 16, 2023. While it is reasonable for Defendants to seek a baseline period of financial performance before the collision for comparison purposes, a five-year pre-collision lookback period is excessive on its face.

A reasonable baseline must encompass sufficient pre-collision financial data to establish plaintiff's earning capacity and business performance trends before the injury. Extending the request to January 1, 2018, sweeps in records that bear little or no relevance to plaintiff's claimed economic losses. The burden and expense of compliance with such an extended request clearly outweigh the marginal utility of records from 2018 through early 2021.

Balancing the privacy interests at stake against Defendants' legitimate need to test Plaintiff's economic claims, the Court concludes that a two-year baseline period is the appropriate outer bound. So production here will be limited to the period from January 1, 2021, forward. This affords Defendants access to two full pre-collision calendar years to establish baseline earning capacity and business performance, supports meaningful trend analysis, and remains substantially narrower than the five-year period originally requested. This limitation strikes a reasonable balance between affording Defendants necessary discovery to test plaintiff's economic claims and protecting Plaintiff from the burden and intrusion of an eight-year audit of his business and personal finances. Accordingly, the subpoenas are **QUASHED** to the extent they seek records predating January 1, 2021.

C. The Subpoenas will be limited to Specific Relevant Categories

The categories of documents requested in the subpoenas are overly broad and undifferentiated. To be sure, Plaintiff has placed his income, earning capacity, and business financial performance at issue by seeking compensation for lost income and increased operational costs. And Defendants are entitled to test those claims through *targeted* discovery. But the discovery must be proportionate to the needs of the case.

Accordingly, the subpoenas are **MODIFIED** to limit production to the following categories, for the period from January 1, 2021, forward:

- Documents sufficient to verify plaintiff's claimed loss of income and loss of earning capacity, including but not limited to:
 - Federal and state income tax returns (individual and business entity);
 - Profit-and-loss statements;
 - General ledgers and ledger entries; and
 - Financial statements prepared in the ordinary course of business.

- Documents sufficient to verify claimed increased labor costs attributable to plaintiff's inability to perform his job functions following the collision, including but not limited to:
 - Payroll records for replacement staff hired after March 16, 2023;
 - Employment agreements or offer letters for such replacement staff; and
 - Timekeeping or scheduling records showing staffing changes.
 - Such other specific categories of financial records as are directly identified in plaintiff's damages computation served pursuant to Code of Civil Procedure section 998 or plaintiff's responses to interrogatories concerning the calculation of damages.

Moreover, the subpoenas are **QUASHED** to the extent they seek categories of documents not reasonably calculated to lead to admissible evidence on the economic damages claims.

D. Monthly Bank Statements and Deposit Slips Will Not Be Produced Now

Bank records—including monthly bank statements, deposit slips, cancelled checks, and wire transfer confirmations—present heightened privacy concerns. Bank statements reveal not only business transactions but also personal financial activity, vendor relationships, customer identities, and cash-flow details that may be competitively sensitive or entirely unrelated to the claims in dispute.

Plaintiff has already produced tax returns for multiple years, which constitute a less intrusive and more reliable source of income and earnings information. (*Williams v. Superior Court of L. A. Cnty.* (2017) 3 Cal.5th 531.) Profit-and-loss statements, general ledgers, and ledger entries provide transaction-level detail sufficient to verify income flows and operational expenses without the line-by-line intrusion of monthly bank statements.

Weighing all these facts, and in the exercise of its discretion, the Court finds that production of monthly bank statements and deposit slips would be cumulative, more invasive than available alternatives, and would impose a burden and invasion of privacy that clearly outweighs the likelihood of discovering admissible evidence, given the availability of tax returns, profit-and-loss statements, and ledger entries.

Accordingly, production of monthly bank statements, deposit slips, cancelled checks, and wire transfer records is prohibited for now based on the current record. This prohibition is without prejudice to a future motion by Defendants, supported by a particularized showing of need tied to a concrete discrepancy or gap in the financial records otherwise produced, demonstrating that bank records are essential to resolve a specific factual dispute material to the claims or defenses.

E. Confidentiality Protocol and *Simultaneous Production*

Plaintiff requests that Snap Advisory remit any responsive documents *first* to Plaintiff's counsel for review and designation of confidential information before production to defendants. Motion at 2:9-11. While plaintiff's privacy concerns are legitimate, granting him unilateral control over what defendants may see would improperly allow him to act as gatekeeper to discovery. Opposition at 5:21-6:9.

A more appropriate safeguard is a confidentiality protocol combined with an opportunity for limited in camera review of specific documents.

Accordingly, the Court now adopts and **ORDERS** that the following procedures and protocol be followed here:

Simultaneous Production Under Protective Order: Snap Advisory, Inc. shall produce responsive documents (as limited by the temporal and categorical restrictions set forth above) to both Plaintiff's counsel and Defendants' counsel *simultaneously*. Production shall be made subject to a stipulated protective order governing the designation, handling, and use of confidential information, or, if the parties are unable to stipulate to a protective order within fourteen (14) days of the date of this order, subject to a confidentiality designation procedure to be established by further order of the court upon noticed motion by either party.

Ten-Day Review Period: Plaintiff shall have ten (10) calendar days after the date of production to review the documents produced and to identify in writing to defendants' counsel and to the court any specific documents or categories of information that plaintiff contends (a) are subject to trade-secret protection, (b) contain competitively sensitive information warranting heightened confidentiality restrictions, or (c) are not reasonably calculated to lead to admissible evidence and should not have been produced. Plaintiff's written identification shall specify with particularity the grounds for objection to each document or category and shall propose specific redactions or restrictions.

Restriction on Substantive Use Pending Resolution: Defendants' counsel may receive and review the produced documents immediately upon production, but shall not use any document substantively (including in depositions, motions, or settlement communications) until the expiration of the ten-day review period. If Plaintiff timely identifies specific documents for further review within the ten-day period, defendants shall not use those specifically identified documents substantively until the court rules on plaintiff's objection, either after an informal meet-and-confer process or after an in-camera review if requested by Plaintiff.

In Camera Review Upon Request: If Plaintiff timely identifies specific documents and the parties are unable to resolve the dispute informally—*and the Court strongly urges and expects the parties with their counsel to resolve the vast majority of such disputes themselves without the need for Court intervention*—Plaintiff may file a further motion, with supporting declaration and lodged copies of the disputed documents

for in camera review, seeking an order that specific documents be withheld from production or produced only in redacted form. The motion shall be filed within ten (10) calendar days after the end of the initial ten-day review period.

In light of the above procedures and protocol now in place, Plaintiff's request for unilateral pre-production review and redaction by Plaintiff's counsel is **DENIED**. These procedures accommodate and strike the right balance between Plaintiff's legitimate privacy and trade-secret interests while preserving Defendants' right to discovery relevant to the issues in dispute and ensuring that the Court, not any party's counsel, serves as the neutral arbiter of disputes over confidentiality and relevance. (*Valley Bank*, 15 Cal.3d at 658).

F. Reservation of Defendants' Rights

If Defendants contend that additional categories of documents or an extended time period are necessary to test plaintiff's economic claims, Defendants may seek further discovery upon a particularized showing of need. Any such motion shall identify with specificity the categories of documents sought, the time period, and the factual or legal basis demonstrating that the information is directly relevant, essential to the fair resolution of the claims or defenses, and not obtainable through less intrusive means.

VII. CONCLUSION & ORDER

Accordingly, Plaintiff Randy Musterer's Motion for Protective Order Re Defendants' Deposition Subpoenas for Production of Documents to Snap Advisory, Inc. is **GRANTED IN PART AND DENIED IN PART**.

Specifically, as explained in great detail above, the Court in the exercise of its discretion **ORDERS** that the deposition subpoenas served by defendants Nathan Murillo and Bay Area Solar Solutions, Inc. on Snap Advisory, Inc. are **MODIFIED** as follows:

- **Temporal Scope:** Production is limited to documents dated or relating to the period from **January 1, 2021, forward**. The subpoenas are **QUASHED** to the extent they seek documents predating January 1, 2021.
- **Categorical Scope:** Production is limited to:
 - Documents sufficient to verify plaintiff's claimed loss of income and loss of earning capacity, including federal and state income tax returns (individual and business entity), profit-and-loss statements, general ledgers and ledger entries, and financial statements prepared in the ordinary course of business;
 - Documents sufficient to verify claimed increased labor costs attributable to plaintiff's inability to perform his job functions following the collision, including payroll records for replacement staff hired after March 16, 2023, employment agreements or offer letters for such replacement staff, and timekeeping or scheduling records showing staffing changes; and

- Such other specific categories of financial records as are directly identified in plaintiff's damages computation or interrogatory responses concerning the calculation of damages.
- The subpoenas are **QUASHED** to the extent they seek categories of documents not reasonably calculated to lead to admissible evidence on the economic damages claims.
- **Bank Records Prohibited:** Production of monthly bank statements, deposit slips, cancelled checks, and wire transfer records is **PROHIBITED**. This prohibition is without prejudice to a future motion by Defendants, supported by a particularized showing of need tied to a concrete discrepancy or gap in the financial records otherwise produced.
- **Simultaneous Production and Confidentiality Protocol:**
 - Snap Advisory, Inc. shall produce responsive documents (as limited by the temporal and categorical restrictions set forth above) to both Plaintiff's counsel and Defendants' counsel *simultaneously*.
 - Production shall be made subject to a stipulated protective order governing the designation, handling, and use of confidential information. If the parties are unable to stipulate to a protective order within fourteen (14) days of the date of this order, either party may file a noticed motion for a court-ordered confidentiality designation procedure. *Note well* that the Court strongly urges and expects the parties to agree to a stipulated protective order within 14 days of today.
 - Plaintiff shall have ten (10) calendar days after the date of production to review the documents produced and to identify in writing to defendants' counsel and to the court any specific documents or categories of information that Plaintiff contends are subject to trade-secret protection, contain competitively sensitive information, or are not reasonably calculated to lead to admissible evidence. Plaintiff's written identification shall specify with particularity the grounds for objection and shall propose specific redactions or restrictions.
 - Defendants' counsel may receive and review the produced documents immediately upon production, but shall not use any document substantively (including in depositions, motions, or settlement communications) until the expiration of the ten-day review period. If plaintiff timely identifies specific documents for further review within the ten-day period, Defendants shall not use those specifically identified documents substantively until the court rules on plaintiff's objection.
 - If the parties are unable to resolve any dispute over specific documents informally, Plaintiff may file a further motion, with supporting declaration

and lodged copies of the disputed documents for in camera review, within ten (10) calendar days after the end of the initial ten-day review period.

- Plaintiff's request for unilateral pre-production review and redaction by plaintiff's counsel is **DENIED**.
- **Reservation of Rights:** Defendants' right to seek additional categories of documents or an extended time period upon a particularized showing of need is reserved. Any such motion shall identify with specificity the categories of documents sought, the time period, and the factual or legal basis demonstrating that the information is directly relevant, essential to the fair resolution of the claims or defenses, and not obtainable through less intrusive means.
- Each party shall bear its own costs and attorneys' fees in connection with this motion.

SO ORDERED.

Date: August 7, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 6

Case Name: *Bank of America, N.A. v. Anthony Snyder*

Case No.: 24CV444941

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Bank of America, N.A. (“Plaintiff”) moves under Code of Civil Procedure Section 664.6 for an Order Setting Aside and Vacating its Prior Order of Dismissal and for Entry of Judgment against Defendant Anthony Snyder (“Defendant”) pursuant to Stipulation of the parties. Notice of Motion (the “Motion”) at 1:26-2:2 (filed: Dec. 22, 2025).

The Motion came on for hearing on August 7, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

BACKGROUND

This is a straightforward matter.

Plaintiff and Defendant knowingly, voluntarily, and intelligently signed and filed in this action on November 13, 2024 a written settlement stipulation agreement, in which they expressly agreed that the Court would retain jurisdiction under Code of Civil Procedure Section 664.6 to enforce the terms of that settlement agreement (the “November 13, 2024 Settlement Agreement”). In this November 13, 2024 Settlement Agreement, the parties agreed, among other things, that:

- Defendant Snyder stipulates to the entry of judgment in favor of Plaintiff Bank of America, N.A. in the principal sum of \$3,024.84 and court costs of \$320.09 for a total judgment in the amount of \$3,344.93 (the “Judgment Amount”);
- Plaintiff would not request that Judgment be entered so long as Defendant is not in default with the payment plan set forth in this Settlement Agreement; and
- Defendant agrees to pay to Plaintiff a minimum of \$170.00 on or before the 30th day of each and every month commencing on September 30, 2024, through and including March 30, 2026, and then a final payment of \$114.93 on or before April 30, 2026, until the Defendant has paid the Judgment Amount.

- If Defendant defaults by failing to make full and timely payment of any installment, then the full remaining balance shall be due, and Plaintiff shall be entitled to enter Judgment for the \$3,344.93 Judgment Amount, plus court costs and motion filing fees incurred in moving for entry of Judgment, less credit for payments made.

Settlement Agreement at ¶¶ 1, 3, 4.

After reviewing the November 13, 2024 Settlement Agreement, the Court in an Order filed on November 21, 2024 dismissed this case without prejudice while retaining jurisdiction to enforce the terms of the Settlement Agreement under Code of Civil Procedure Section 664.6 (the “November 21, 2024 Dismissal”).

ANALYSIS OF THE MOTION

While Defendant did make some installment payments totaling \$1,530.00, for which he is entitled to credit, Defendant defaulted by stopping making any further installing payments before the \$3,344.93 Judgment Amount was paid in full. Declaration of Attorney Michael Mallonga In Support of Motion (“Mallonga Decl.”) at ¶¶ 6 & 7 and Ex. 2 thereto.

As Defendant defaulted on payments that he owed Plaintiff under the Settlement Agreement, Plaintiff asks the Court to enter Judgment against Defendant now in the total amount of **\$2,138.40**, which equals:

- the principal sum of \$3,024.84,
- plus previous court costs of \$320.09, \$18.47 e-filing fee, \$245.00 Order fee and \$60.00 motion fee for the filing of this Motion,
- less payments of \$1,530.00 made by Defendant to Plaintiff to date.

Mallonga Decl. at ¶ 7.

The Court finds the Motion to be well grounded in law, well supported in fact and evidence by the Supporting Declaration of Michael Mallonga and its Exhibits, and reasonable in all respects.

Moreover, Defendant has not opposed the Motion at all, which the Court views as Defendant conceding the Motion in its entirety. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated “as an admission that the motion is meritorious”) (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).

CONCLUSION & ORDER

For all the reasons set forth above, **Plaintiff's Motion is GRANTED.**

Specifically, the Court **ORDERS** that:

1. the November 21, 2024 Dismissal is **VACATED**;
2. the November 13, 2024 Settlement Agreement signed by the parties under C.C.P. Section 664.6 is **ENFORCED**; and
3. **JUDGMENT IS ENTERED** now in favor of Plaintiff Bank of America, N.A. and against Defendant Anthony Snyder in the total amount of **\$2,138.40.**

SO ORDERED.

Date: August 7, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

JUDGMENT

Plaintiff's Motion for an Order Setting Aside and Vacating the Court's November 21, 2024 Order of Dismissal, and for Entry of Judgment in favor of Plaintiff Bank of America, N.A. and against Defendant Anthony Snyder pursuant to Stipulation of the parties, came regularly for a hearing by the Court on August 7, 2026, on notice duly given. After reviewing all the papers and giving counsel for all parties the opportunity to be heard, the Court **GRANTS THE MOTION.**

ACCORDINGLY, IT IS SO ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiff Bank of America, N.A. have and recover now from Defendant Anthony Snyder a **Total Judgment in the amount of \$2,138.40**, which equals: (a) the principal sum of \$3,024.84, *plus* (b) previous court costs of \$320.09, \$18.47 e-filing fee, \$245.00 Order fee and \$60.00 motion fee for the filing of this Motion, *less* (c) payments of \$1,530.00 made by Defendant to Plaintiff to date.

Date: August 7, 2026

Vincent I. Parrett
Judge of the Superior Court of California,
County of Santa Clara

Line 7

Case Name: *First Resolution Investment Corp. v. Richard J. Torres*

Case No.: 2008-1-CV-131533

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Assignee River Heights Capital LLC (“Assignee”) moves under Code of Civil Procedure Section 473(b) to vacate the Judgment entered on April 14, 2009 and the Renewal of Judgment filed on March 26, 2019 against Defendant Richard J. Torres (“Defendant”) and to dismiss the case with prejudice on the grounds that Defendant was a victim of identity theft and fraud. Notice of Motion (the “Motion”) at 1:21-27 (filed: Jan. 15, 2026).

The Motion came on for hearing on August 7, 2026, at 9:00 AM in Department 16. The Court has considered the moving papers, including the Declaration of Robert J. Colclough, III in Support of the Motion (“Colclough Decl.”) and its supporting evidentiary exhibit, as well as the Memorandum of Points and Authorities in Support of the Motion. No Opposition has been filed by any party. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

PROCEDURAL HISTORY

On April 14, 2009, Judgment was entered in favor of Plaintiff First Resolution Investment Corp. against Defendant Richard J. Torres, an individual, in the amount of \$2,370.98. Colclough Decl. at ¶ 3; Abstract of Judgment. On March 26, 2019, the Judgment was renewed in the amount of \$4,744.03. Colclough Decl. at ¶ 3; Abstract of Judgment.

By a filing in this action on April 22, 2025, Assignee River Heights Capital LLC was assigned all title, right, and interest in the judgment by the original Judgment creditor First Resolution Investment Corp. Assignment of Judgment (filed: April 22, 2025).

Now River Heights Capital LLC, as Assignee, moves under California Code of Civil Procedure section 473(b) to vacate the Judgment entered on April 14, 2009, and the Renewal of Judgment filed on March 26, 2019, and to dismiss the case with prejudice on the grounds that Defendant was a victim of identity theft and fraud. Motion at 1:20-27; Mem. in Supp. of Mot. to Vacate J. at 3:19-23.

FACTUAL BACKGROUND

On or about January 13, 2026, counsel for Assignee became aware that Defendant Richard J. Torres was a victim of identity theft and fraud. Colclough Decl. at ¶ 4. Counsel for Assignee received certified mail from Consumer Law Center, Inc., dated October 11, 2017, advising that the law firm represents Defendant Richard Jonathan Torres in this matter. *Id.* ¶ 5 & Ex. 1 thereto. The letter stated that the debt is not the Defendant Torres's debt and that he is a victim of identity theft. *Id.* The letter explained that an unknown person or persons opened the Washington Mutual Bank credit account underlying this lawsuit using Mr. Torres's personal information without his knowledge or consent. *Id.* The letter enclosed a San Jose Police Report, Sunnyvale Police Report, and a completed and notarized Federal Trade Commission Identity Theft Affidavit. *Id.*

LEGAL STANDARD

California Code of Civil Procedure section 473(b) provides that "[t]he court may, upon any terms that may be just, relieve a party or his legal representative from a judgment, dismissal or order or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect." Mem. in Supp. of Mot. to Vacate J. at 4:2-3. Under section 473(b), this Court has the authority and discretion to vacate the Judgment entered on April 14, 2009, and the Renewal of Judgment filed on March 26, 2019, and to dismiss this case with prejudice. *Id.* at 4:7-14.

ANALYSIS OF THE MOTION

In the broad exercise of its discretion, the Court finds the Motion to be well grounded in law, well supported in fact and evidence by the Supporting Declaration of Robert J. Colclough, III, and its Exhibits, and reasonable in all respects. The evidence presented demonstrates that Defendant was a victim of identity theft and that the Judgment was entered based on a debt arising from a credit account opened by an unknown person using Defendant's personal information without his knowledge or consent. Colclough Decl. at ¶ 5. The Assignee, as the current holder of the Judgment, quite reasonably seeks this relief from the Judgment after recognizing this identity theft.

Given the uncontroverted evidence that Defendant was a victim of identity theft, and in the interests of justice, the Court finds that relief under Code of Civil Procedure section 473(b) is warranted.

Moreover, no party has opposed the Motion, which the Court views as all parties conceding the Motion in its entirety. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated "as an admission that the motion is meritorious") (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): "A failure to oppose a motion may be deemed a consent to the granting of the motion." CRC Rule 8.54(c).

CONCLUSION & ORDER

This Motion to Vacate the Judgment, Renewal of Judgment and Dismiss the Case with Prejudice is **GRANTED** in its entirety.

Specifically, the Court **ORDERS** that:

1. The Judgment entered on April 14, 2009, in favor of First Resolution Investment Corp. against Richard J. Torres, an individual, is **VACATED**;
2. The Renewal of Judgment filed on March 26, 2019, is **VACATED**; and
3. This case is **DISMISSED WITH PREJUDICE**.

SO ORDERED.

Date: August 7, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 8

Case Name: *Remedios Domondon, et al. v. Fely P. Mabutas, et al.*

Case No.: 18CV329214

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Plaintiff Remedios Domondon (“Plaintiff”) moves the Court to vacate the trial date currently set for August 17, 2026 on the ground that jurisdiction remains with the appellate court because the appellate court has not yet issued its remittitur. Pl. Order to Show Cause (“OSC”) Application (the “Motion”) at 3:1-25 (filed: July 29, 2026)

The Motion came on for an OSC hearing on August 7, 2026, at 9:00 AM in Department 16, specifically on why the trial date currently set for August 17, 2026 should not be vacated on the ground that the appellate court retains jurisdiction over the matters to be tried because no remitter has been issued yet. *Id.* at 4:3-8. After reviewing all the papers and the record, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows.

In its unpublished opinion in this action filed on May 14, 2026, the Sixth Appellate District held in its concluding paragraph: “The judgment of dismissal is reversed and the matter is remanded for an immediate trial setting. Given the age of this case, the trial court is directed *to set a trial date that is within 180 days of the issuance of the remittitur*, unless the parties stipulate to a later date under Code of Civil Procedure section 583.330.” Order at p. 20 (May 14, 2026, Sixth Appellate District, H052936, on appeal from Santa Clara County Super. Ct. No. 18CV329214) (emphasis added). Underscoring the urgency of its directive, the Sixth Appellate District in the opening paragraph of this same opinion wrote: “We reverse and remand *for an immediate trial.*” *Id.* at p. 1 (emphasis added).

In light of this appellate opinion’s directive “for an immediate trial setting,” the undersigned Judge swiftly after receiving this appellate opinion set a Trial Setting Conference on June 10, 2026, at which counsel for all parties appeared. And at that Trial Setting Conference, having in mind the appellate court’s directive “for an immediate trial,” the Undersigned Judge set trial in this case for August 17, 2026.

When the Undersigned Judge set the August 17, 2026 trial date, he assumed (in light of the urgency of the directive “for an immediate trial” in the appellate decision) that the Sixth Appellate District would issue the remittitur imminently, such that there would be no jurisdictional barrier to the trial court proceeding with this trial on August 17, 2026.

But as Plaintiffs do accurately point out in their Motion to vacate the August 17, 2026, as of today the Sixth Appellate Division has not issued the remittitur. The Undersigned Judge has personally reviewed the online appellate case docket today in

HO52936 and sees that no remittitur has been issued yet. And Plaintiffs also accurately point out that until the Sixth Appellate Division issues its remittitur, the trial court is without jurisdiction to hear the trial of this matter.

Moreover, Defendants Art Perez, dba AP Accounting, Fely P. Mabutas, and Ferdinand Absalon have all filed Notices of Non-Opposition to this Motion to Vacate the August 17, 2026 trial, which this Court views as these Defendants conceding the Motion. *D.I. Chadbourne, Inc. v. Super. Ct.* (1964) 60 Cal.2d 723, 728, fn. 4.; California Practice Guide: Civil Procedure Before Trial ¶ 9:105.10, Ch. 9 at pp. 94-95 (failure to file opposition papers to motion is treated “as an admission that the motion is meritorious”) (Weil & Brown, The Rutter Group, 2025 Ed.); *see also* Rule of Court 8.54(c): “A failure to oppose a motion may be deemed a consent to the granting of the motion.” CRC Rule 8.54(c).

Also, the Undersigned Judge sees in reviewing today the “Scheduled Actions” tab on the online appellate case docket in HO52936 that there the Sixth Appellate District states that the “Due Date” for “Remittitur [to be] issued” is “August 13, 2026.” So, in light of that expected remittitur-issuance date of August 13, 2026, it is reasonable for this Court now to set another Trial Setting Conference (“TSC”) later this month on August 26, 2026, where and when this Court can and will set a new trial date within 180 days of the date the remittitur is issued.

Accordingly, Plaintiff’s Motion to Vacate the August 17, 2027 trial is **GRANTED**. Specifically, the Court **ORDERS**:

1. The Mandatory Settlement Conference set for August 12, 2026 at 9:04 AM in Department 16 is **VACATED**.
2. The Trial Assignment Hearing set for August 13, 2026 at 1:31 PM in Department 18 is **VACATED**.
3. The Trial set for August 17, 2026 at 8:45 AM in Department 18 is **VACATED**.
4. The Court **SETS** a new TSC for August 26, 2026 at 11:00 AM in Department 16. Before the August 26, 2026 TSC, counsel for all parties will meet and confer to see if they can agree on a trial date *within* 180 days of the date the remittitur is issued. If they do agree, the Court is likely to set trial for that agreed-upon date; if they don’t agree, the Court will pick a trial date for them.
5. All parties, all counsel, and all witnesses (fact and expert) are put on **NOTICE** that at the August 26, 2026 TSC this Court will set this case for trial within 180 days of the date the remittitur is issued—as directed by May 14, 2026 opinion of the Sixth Appellate District. There will be no continuance or delay of this trial beyond that point.

SO ORDERED.

Date: August 7, 2026

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

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